

Understanding Family Trusts in Kenya

Revised client guide • Trust Administration Act, 2026

Legal reference date: 24 September 2026 | Statutory commencement: 25 September 2026

1. What is a family trust?

A family trust is a living or testamentary trust registered or incorporated for planning or managing a person's personal estate. It is made in contemplation of beneficiaries, whether related to the settlor or not, for preservation or creation of wealth across generations, and is a non-trading entity (s. 10). The settlor may be a beneficiary but may not be the sole beneficiary of their own trust (ss. 10(3), 12(3)).

2. A simple illustration

A settlor places identified land or investments under trustees' control for children and future descendants. The deed determines who may benefit, how distributions are authorised, who appoints successor trustees and how property is protected. A family trust is not an automatic shield against creditors: fraudulent arrangements may be declared void (s. 6(3)).

3. Parties and minimum trustees

The settlor creates the arrangement; trustees administer it; beneficiaries receive or may receive benefits; an optional enforcer monitors implementation; and a qualifying trust agent may assist with formation, address or filings. A family trust must have at least ONE trustee (s. 11(2)); apply the natural-person Kenyan citizenship/residence and trustee eligibility checks under ss. 11(3), 36.

Legal framework and effective date

The Trust Administration Act, 2026 (No. 28 of 2026), assented to on 8 September 2026, commences on 25 September 2026. It replaces the Trustees (Perpetual Succession) Act and the Trustees Act on commencement (ss. 1, 99). This guide describes the enacted framework prospectively; procedures prescribed by future Regulations or Registrar directions must be checked before filing.

Registration is not incorporation

A written trust must be registered or incorporated; the Act also preserves court applications for recognition or enforcement of an unregistered written trust and certain trusts or fiduciary obligations arising under other laws or equity (ss. 3–5). Registration results in an UNINCORPORATED trust, with a certificate bearing “Registered Trust”; it does not confer legal personality (ss. 24, 27). Incorporation creates a body corporate with perpetual succession and power to hold property, contract and litigate in its own name; its certificate bears “Incorporated Trust” (ss. 30–32). A registered trust may subsequently apply for incorporation (s. 33).

Trust deed: matters to address

Section 23 requires terms for creation and management; appointment/removal of trustees; trustees' agreement to act; type and purposes; identified property; initial trustees' names, addresses and roles; applicable trustee/enforcer acceptance and security terms; and beneficiaries identified by name or clear class description. The settlor or representative and trustees execute the deed, with witness attestation and prescribed witness particulars. LexReg should capture the deed as a document AND its operative rules as structured fields.

Application and supporting records

For registration, section 22 requires a deed, prescribed fee, beneficial-owner register, statement of initial property, initial enforcer statement and acceptance if applicable, court order if applicable, and further prescribed materials. The application records trust type, establishment date, purpose, settlor, beneficiaries, trustees, enforcers, beneficial owners and registered address or qualifying agent address. For incorporation, sections 28–29 additionally provide for name reservation and the specified incorporation particulars and attachments. Do not treat any proposed LexReg form or screen as an officially prescribed BRS form until verified.

Trustees and eligibility

A natural-person trustee must be over 18 and satisfy the statutory eligibility rules. Section 36 lists disqualifications, including specified professional disqualifications, certain convictions, bankruptcy and other grounds. A corporate trustee has separate statutory qualification requirements and must have a resident Kenyan natural-person contact person (s. 36). Where trustees are natural persons, at least one must be a Kenyan citizen or resident of Kenya, as prescribed in Regulations (s. 11(3)).

Settlor, beneficiaries and enforcer

A settlor may also be trustee, enforcer or beneficiary but cannot be the sole beneficiary of their own trust (s. 12(3)). Settlor powers may be reserved subject to the deed and law, including amendment, distributions, property decisions and appointments (s. 13); these powers do not automatically make the settlor a trustee. Beneficiaries may be named or ascertainable by class or relationship (ss. 19–21). An enforcer is optional subject to the deed; an enforcer who is also trustee may not perform the enforcer functions listed in section 15(1). Enforcer appointment and cessation notices generally have 21-day filing triggers (ss. 14, 17).

Fiduciary governance and property

Trustees must exercise reasonable care, skill and diligence, act within the deed and law, avoid conflicts, treat beneficiaries impartially where relevant, and preserve and segregate trust property (ss. 43–48). Trustees act jointly in accordance with the deed; where decision-making or amendment procedures are missing, court guidance may be necessary (s. 44). LexReg should record decision rules, approvals, delegations, conflict declarations, resolutions, title documents, investments and distributions rather than assume a generic majority-vote rule.

Registers, accounts and beneficial ownership

Sections 63–64 require specified trust records and accounting records, with minimum seven-year retention. Every trust must compile and keep a beneficial-owner register and lodge a copy with the Registrar (ss. 65–66). Beneficial-owner changes must be lodged within 21 days after the change (s. 67); records of a person who ceases to be a beneficial owner are retained for at least seven years (s. 68). Beneficial ownership concerns natural persons with ultimate ownership or control; the final prescribed particulars await applicable Regulations (s. 2 and s. 65). A trust is not a company: do not apply company share-percentage tests to trust beneficial ownership.

Annual returns and change notifications

Annual returns are due within 30 days of the anniversary of registration or incorporation under this Act (s. 75). Trustee appointments, replacements, resignations and removals have event-specific 21-day Registrar notices under ss. 37–41. An agent appointed to lodge statutory documents or provide an address or keep records also

triggers notification within 21 days of appointment (s. 76). Each workflow should calculate its own deadline from the correct event date and preserve evidence of filing.

Existing trusts: transitional review

Section 99(2) recognises existing trusts incorporated under the repealed legislation or created by registration of a deed under the Registration of Documents Act. Existing trusts must comply within 24 months after commencement, or such time as the Registrar directs. Section 66(2) separately gives trusts incorporated before commencement 24 months to lodge the beneficial-owner register, with possible Registrar extension under s. 66(3). A provisional 25 September 2028 milestone follows from the scheduled commencement, but LexReg must permit Registrar directions and extensions and must not assume every transitional obligation has the same scope.

Tax, licences and regulatory overlap

Registration or incorporation under the Act is not itself a tax exemption or sector licence. Tax, charitable/public-benefit status, employment, land transfer, data protection, anti-money-laundering and donor obligations require separate fact-specific checks. The Act itself requires compliance with the Data Protection Act (s. 91).

Source and implementation status

Primary source: user-supplied Kenya Gazette Supplement No. 223, Trust Administration Act, 2026 (No. 28), dated 11 September 2026. Statutory section references appear throughout. Registry forms, prescribed data fields, fees, electronic steps and subordinate legislation are intentionally not invented; confirm current Registrar/BRS instructions before live deployment.

Family trust: asset and succession workflow

- Capture current and proposed trust property separately, including title, ownership, encumbrances, valuation and transfer status.
- Check whether property is already vested in trustees or requires conveyance; registration of a trust alone does not create a body corporate.
- Capture beneficiary classes, future descendants, conditions, discretionary distribution powers and class-closure rules (ss. 19–21).
- Record any express revocation power; otherwise the trust is deemed irrevocable under s. 7.
- Distinguish estate-planning purpose from prohibited trading activity under s. 10(2)(c).

LexReg family trust onboarding

- Identify new versus existing trust; capture current registered/incorporated status and evidence.
- Reuse verified settlor, trustee, beneficiary, enforcer and agent person profiles; preserve role-specific powers and effective dates.
- Choose registration or incorporation with a plain-language legal-personality comparison.
- Capture and validate deed, property statement, beneficiaries/classes, trustee eligibility, enforcer acceptances and beneficial-owner register.
- Generate a human-reviewed filing pack; track Registrar outcome and store certificate.

- Activate asset, trustee, beneficiary, BO, accounting, deed-rules, annual-return and event-filing registers.

Client note: the precise form, fees, additional particulars and filing portal screens are subject to current Regulations and Registrar directions. Seek individual legal and tax advice for land, succession, foreign trustees and complex distributions.